

We Hear You Campaign Proposal

Starbucks Corporation

Executive Summary

Starbucks was founded in 1971 by Jerry Baldwin, Zev Siegl and Gordon Bowker in Seattle, Washington (Bondarenko et al., 2025). Initially, the company focused on selling high-quality coffee beans and spices at Seattle's Pike Place Market (Starbucks, n.d.a). The name "Starbucks" was inspired by Herman Melville's classic novel, *Moby-Dick*, evoking the romance of the high seas and the age-old tradition of coffee trading (Bondarenko et al., 2025). In 1982, Howard Schultz joined the company and introduced the idea of transforming Starbucks into a café-based business after observing Italy's vibrant coffeehouse culture (Starbucks, n.d.a). By 1984, Starbucks had launched its first café, initiating a global shift from bean retail to beverage service (Starbucks, n.d.a). Schultz later became CEO and played a pivotal role in expanding Starbucks into a worldwide brand synonymous with premium coffee and community-centered cafés (Starbucks, n.d.a).

Starbucks' mission is "to be the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit — one person, one cup and one neighborhood at a time" (Starbucks, n.d.b). This statement reflects not only a commitment to quality coffee but also to meaningful connections with customers. As the company navigates a period of transition, including noticeable changes to its website and a significant corporate restructuring announced in January 2025, reaffirming this mission is essential (CBS News, 2025). The restructuring, which includes layoffs at the corporate level and a shift away from the open-door policy adopted after the 2018 racial profiling incident, is intended to simplify operations and refocus the brand's priorities around customer service and core values (CBS News, 2025).

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The proposed “We Hear You” campaign aligns with Starbucks’ core values—craft, courage, results, belonging and joy—through working to rebuild trust and loyalty through personalized customer engagement and strategic incentives (Starbucks, n.d.b). The campaign embraces the mission’s emphasis on serving “one person at a time” by focusing on enhancing the customer experience through targeted rewards and loyalty strategies (Starbucks, n.d.b). This initiative also reflects the value of results, defined by Starbucks as consistently achieving goals with “focus, integrity, and drive” (Starbucks, n.d.b). The company’s track record in achieving results includes ethical sourcing, community investment and equitable pay practices—successes which link to its potential to similarly regain customer trust through values-led campaigns (Dudovskiy, 2022; Gavin, 2019).

Through focusing on same-store sales growth and digital loyalty engagement, the “We Hear You” campaign aims to drive measurable progress aligned with Starbucks’ goals of increased revenue, customer loyalty and positive brand perception amid the current restructuring. Despite the Q4 FY2024 Starbucks Annual Report showing a drastic downturn in comparable store sales and transactions, Starbucks is already showing signs of improvement. As of Q1 2025, Starbucks reported 34.6 million 90-day active rewards program members in the U.S., a 1% increase year-over-year and 2% increase quarter-over-quarter (Starbucks Investor Relations, 2025). The “We Hear You” campaign supports Starbucks’ long-term loyalty and growth strategy by bringing the total U.S. 90-day active membership to approximately 37 million by January 2027, a more than 3 million member increase. Campaign tactics such as upgrades to the Starbucks Rewards program, AI-driven personalization technology, targeted social media ads and low-rent drive-thru store locations will contribute to these objectives.

Situational Analysis

Starbucks operates within a highly competitive quick-service coffee and beverage market. Its top three competitors include Dunkin' Donuts, McDonald's and Tim Hortons (Ita, 2024). Dunkin' Donuts presents the most direct competition due to its aggressive coffee branding and pricing strategy that appeals to value-conscious consumers (Ita, 2024). Acquired by Inspire Brands in 2020, newly named "Dunkin'" (minus the "Donuts"), has expanded its digital ordering and drive-thru presence, but its product diversity and brand equity still trail Starbucks (Ita, 2024). McDonald's, though boasting a significantly larger market cap, lacks an exclusive coffee focus, with its McCafé line offering a simplified coffee experience with lower prices, yet lacks the premium brand image and community-driven café culture Starbucks maintains (Ita, 2024). Tim Hortons, a dominant player in Canada, has a more limited U.S. footprint and a smaller menu size, positioning Starbucks as the more innovative and global coffee brand (Ita, 2024). As of FY2024, Starbucks remains the market leader in premium coffee retail, both in store count and loyalty engagement (Ita, 2024). While exact market share varies by region, Starbucks holds an estimated 40%+ share in the U.S. specialty coffee market, far ahead of Dunkin' at approximately 26% and McDonald's coffee-related share even lower due to its diversified food model (Ita, 2024).

Strengths

Starbucks possesses a strong global brand identity rooted in premium quality, ethical sourcing and personalized service. One of Starbucks' greatest strengths lies in its industry-leading loyalty program, Starbucks Rewards, which accounts for more than half of U.S. store revenue and significantly boosts customer retention (Masternak, n.d.). Its brand identity is globally recognized and reinforced by its 38,000+ store presence across more than 80 countries

(Starbucks Investor Relations, 2025). In addition to its widespread footprint and digital innovations, Starbucks is widely praised for its corporate social responsibility (CSR) efforts, including a 99% ethically sourced coffee supply chain, equitable pay and sustainability investments like the Global Farmer Fund (Dudovskiy, 2022). These strategic advantages contribute to a strong foundation that supports continued growth and adaptability in a changing retail landscape.

Weaknesses

Despite its strengths, Starbucks faces growing criticism over pricing, employee relations and inconsistency in customer experience (CBS News, 2025). The company recently underwent corporate restructuring in January 2025, including a CEO change, layoffs and shifts away from previously public-facing policies such as the open-door café seating initiative (CBS News, 2025). This change, although designed to streamline operations, may alienate some customers and affect the inclusive image Starbucks has cultivated. Furthermore, high menu prices may limit appeal to more budget-conscious consumers, particularly amid inflation and increased competition.

Opportunities

The increasing demand for personalized digital experiences, especially among Gen Z and Millennial audiences, presents a major growth opportunity for Starbucks. Expanding the reach and personalization of the Starbucks Rewards program can deepen engagement and boost transaction frequency. International expansion, particularly in emerging markets and China, continues to offer strong revenue potential (Starbucks Corporation, 2024). Furthermore, as socially conscious consumerism rises, Starbucks can enhance its brand loyalty by amplifying

communication around its CSR and sustainability initiatives, especially through immersive digital storytelling and influencer campaigns.

Threats

Despite Starbucks' global success, the company faces several significant threats in today's competitive and evolving market. One of the most pressing is the decline in global comparable sales, which fell 7% as of Q4 FY2024, largely driven by reduced transactions and shifting consumer preferences (Starbucks Corporation, 2024). Rising operational costs, including supply chain disruptions and inflationary pressures continue to challenge profit margins. In addition, increased competition from more affordable chains like Dunkin' and McDonald's threatens Starbucks' market share, particularly among price-sensitive consumers (Ita, 2024). The company also faces reputation risks tied to public criticism over pricing and customer service, especially during times of organizational restructuring (CBS News, 2025). Finally, ongoing technological disruptions and rapidly changing digital expectations require continuous investment in innovation to stay ahead of trends and customer demands.

(Starbucks cup image here)

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Strategies and Tactics

The primary strategy of the Starbucks "We Hear You" campaign is to rebuild customer trust and loyalty through personalized engagement, enhanced convenience and reward-centered communication. This campaign leverages emotional branding, community-driven storytelling and data-based insights to foster deeper connections between Starbucks and its customers.

Key tactics include:

- **AI-Driven Personalization Tools:** To enhance the customer experience and drive deeper engagement with the Starbucks Rewards ecosystem, the campaign will implement advanced artificial intelligence (AI) tools. These personalization engines will analyze consumer purchasing behavior, app engagement patterns and product preferences in real time to deliver customized menu suggestions, promotional offers and order reminders via the Starbucks app and email. AI personalization will not only improve customer satisfaction but also increase average ticket size and frequency of visits.
 - **Loyalty Program Upgrades:** Building upon the personalization strategy, Starbucks will roll out significant upgrades to the Starbucks Rewards program, including new app functionalities and updated reward redemption tiers. These upgrades will introduce flexible payment integration with digital wallets, faster app navigation and user-friendly interface enhancements for both iOS and Android. Customers will be offered more meaningful incentives such as limited-time, tiered bonus stars, seasonal product sneak peeks for members only and surprise “double star days” to encourage app interaction.
 - **Targeted Social Media Ads:** The campaign will heavily invest in targeted paid advertisements across high-traffic platforms including Facebook, Instagram and TikTok. These ads will be customized based on geographic location, age demographic, consumer interest and Starbucks app usage data. For instance, Instagram Stories ads may showcase limited-time offers or drink tutorials, while TikTok in-feed videos will highlight user-generated content challenges to spark viral engagement. Facebook ads will primarily target loyalty upgrades and new features for lapsed customers.
4. Influencer

- **Influencer Partnerships for Gen Z Engagement:** Partnering with niche micro- and mid-tier influencers on TikTok and Instagram, Starbucks will launch a wave of content-driven collaborations aimed at Gen Z consumers who value authenticity and peer-based recommendations. Influencers will share personalized Starbucks “drink hacks,” surprise menu combinations, rewards tutorials and taste tests in visually engaging ways. A branded hashtag challenge on TikTok will encourage users to share their “Starbucks Story,” with weekly winners receiving exclusive rewards or free drink perks. Influencer activations will be coordinated through an influencer management platform to ensure timely rollout, consistent messaging and performance analytics tracking.
- **National PR & Email Campaigns:** To increase public trust and awareness of the revitalized loyalty program, Starbucks will coordinate a national PR campaign featuring earned media placements in top-tier outlets such as *USA Today*, *CNBC* and *Fast Company*. Messaging will emphasize customer appreciation, transparency, and the brand’s responsiveness to customer feedback. Complementary email campaigns will reach both current and inactive Starbucks Rewards users, offering early access to promotions and updates about loyalty enhancements. All emails will be personalized using CRM data to increase open rates and drive click-throughs to the mobile app and campaign landing page.
- **Drive-Thru Model Expansion (Pilot Rollout):** Recognizing the increasing demand for convenience and the need to reduce overhead costs, Starbucks will initiate a pilot expansion of its drive-thru model in 10% of urban markets. These updated drive-thru locations will feature improved digital signage, quicker processing time and integrated QR code decals for rewards scanning and ordering directly from mobile devices.

Locations will be selected based on traffic volume, current sales performance, and customer proximity data. The drive-thru pilot is also expected to test new geolocation-based AI for wait-time estimates and targeted upselling suggestions as customers approach the ordering window.

Campaign Goals

The Starbucks “We Hear You” campaign goals include:

- Achieve a 15% increase in U.S. same-store sales by January 2027 through targeted digital engagement and incentivized loyalty behaviors.

This objective supports Starbucks’ long-term revenue strategy by focusing on driving repeat visits and larger average orders per customer. Through personalized offers and enhanced in-app experiences, Starbucks aims to significantly boost in-store traffic and purchase frequency.

- Increase Starbucks Rewards program membership by a minimum of 125,000 new U.S. members within two quarters of campaign launch (by Q4 2025).

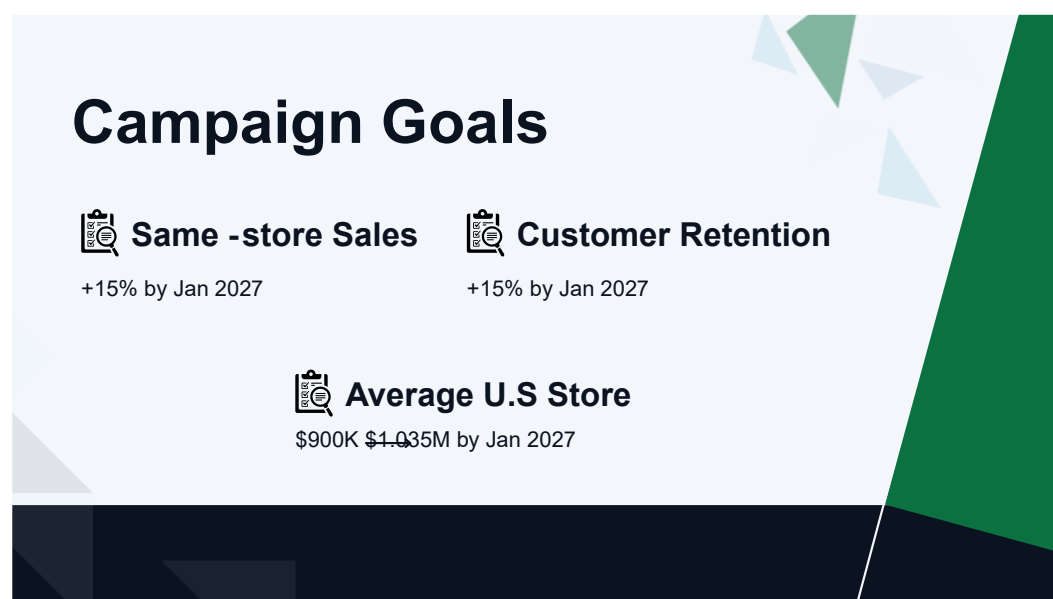
With 90-day active members in the U.S. already totaling 34.6 million as of Q1 2025 (Starbucks Investor Relations, 2025), this goal is to further propel membership growth through improving the Starbucks Rewards program through gamification and personalization, influencer promotions and targeted social media advertising.

- Drive a 15% increase in customer retention across all channels by January 2027 by deploying AI-powered personalization tools and improving the digital-to-in-store connection.

Enhancing the app and loyalty experience is central to retaining casual and frequent visitors alike, while rebuilding trust with former customers amid restructuring changes.

- Increase average U.S. store revenue from approximately \$900,000 to \$1.35 million per store by January 2027.

The campaign will increase average store revenue driven by enhanced digital engagement, convenient drive-thru stores and targeted promotional strategies



Audiences

The primary audience for the “We Hear You” campaign includes several strategically defined customer segments based on behavioral and demographic data.

1. Non-Rewards Starbucks Customers

These individuals already visit Starbucks but have not yet enrolled in the Starbucks Rewards program. They represent a high-opportunity group for acquisition through mobile-first messaging.

Outreach strategy: In-app prompts, QR codes in-store and geo-targeted Instagram and TikTok ads promoting “first-time” sign-up incentives.

Resonant message: *“Your drink. Your points. Just one scan away.”*

2. Gen Z and Millennials (College Students & Young Professionals)

This group is highly digital, price-conscious and responsive to exclusive, gamified rewards. Gen Z, in particular, favors platforms like TikTok and Instagram for brand discovery and engagement (Vogels & Gelles-Watnick, 2023).

Outreach strategy: TikTok challenges, short-form influencer partnerships and Spotify ads featuring limited-time rewards.

Resonant message: *“Sip your way to perks—only on the Starbucks app.”*

3. Dormant or Low-Engagement Rewards Members

These are current Starbucks Rewards users with minimal activity or point accumulation.

Outreach strategy: Re-engagement emails and app notifications offering bonus stars or “surprise” upgrades to reinvigorate app use.

Resonant message: *“Haven’t been in a while? Let’s catch up—with 2X Stars.”*

4. Parents and Working Professionals

These users value convenience, mobile ordering and drive-thru service during busy routines.

Outreach strategy: Facebook and YouTube pre-roll ads targeting morning commutes and app-

based time-saving features.

Resonant message: *“Coffee, your way. Skip the line every time.”*

5. Occasional Visitors (Secondary Audience)

Infrequent customers may be swayed by seasonal offerings or social trends.

Outreach strategy: Influencer-driven reels, in-store signage and limited-edition drink releases promoted through mobile and social.

Resonant message: *“Fall’s favorite drink is back—don’t miss out on the PSL”*

This multi-layered audience strategy ensures campaign messages are personalized, platform-appropriate and designed to meet each segment’s motivation and behavior, delivering maximum engagement and measurable impact.

Media Outreach Strategy

To ensure maximum visibility and impact, this campaign will leverage a well-integrated PESO model—Paid, Earned, Shared and Owned media channels—as described by Sparrer (2021).. Paid media will be crucial in targeting new and disengaged customers, particularly through highly personalized social media advertising across Facebook, Instagram and TikTok. Sponsored content and geotargeted mobile ads will support the campaign’s AI-driven personalization strategy while paid influencer partnerships will help amplify messaging to Gen Z and Millennial audiences. Earned media will focus on generating third-party coverage and authentic visibility through press releases, feature stories and influencer mentions. This includes securing placements in digital publications, blogs and podcasts that cater to Gen Z and lifestyle audiences.

Shared media will capitalize on customer interactions and peer-to-peer recommendations. The campaign will encourage and amplify user-generated content (UGC), leveraging challenges and giveaways on social platforms to promote organic sharing. Finally, owned media will reinforce campaign messaging and provide direct channels for conversion. Starbucks' website, email newsletters, blog posts, mobile app and video storytelling platforms will be used to inform, engage and guide users toward taking action—whether it's signing up for the Rewards program or discovering new seasonal products.

Communication Strategies

To effectively deliver key campaign messages, my campaign will leverage a blend of digital and experiential communication tools that align with Starbucks' brand voice and evolving customer behaviors. At the core of this approach are personalized email marketing campaigns, in-app messaging, mobile push notifications, influencer-led storytelling and public relations activations. These tools will help ensure the campaign reaches and resonates with a diverse customer base, including tech-savvy Gen Z users, convenience-seeking professionals and existing but inactive Starbucks Rewards members.

Email marketing will be used to engage both existing customers and potential loyalty program sign-ups with personalized offers, limited-time promotions, and curated product recommendations. This communication tool is cost-effective and allows for message customization based on user behavior and purchase history, increasing the likelihood of conversion. In addition, mobile push notifications and in-app messages will target users already using the Starbucks app. These will be timed strategically to highlight nearby store offers, promote the drive-thru pilot rollout and reactivate dormant users with personalized incentives.

To expand campaign visibility and emotional appeal, influencer storytelling across TikTok and Instagram will communicate the campaign's core themes in an authentic and engaging format. Micro-influencers will create content that showcases their favorite Starbucks items, highlights seasonal offers and provides testimonials about the upgraded loyalty experience. Meanwhile, a national public relations rollout will reinforce Starbucks' broader brand purpose and technology investments through digital press releases, media kits and storytelling in top-tier lifestyle and news outlets. Additional tools will include QR code integration at physical locations for in-store customers to instantly join Starbucks Rewards, explore AI-recommended drinks or enter limited-time promotions. Lastly, interactive landing pages on Starbucks' website will serve as a central hub for campaign content, tracking engagement with embedded analytics.

Key Performance Indicators and Benchmarks

The success of this campaign hinges on Starbucks' ability to leverage data across digital, retail, and loyalty touchpoints to support four core KPIs with each having a deadline of January 2027: a 15% increase in same-store sales, a 15% increase in customer retention, a 50% increase in same-store sales and over 5 million Starbucks Rewards sign-ups by Q1 2027. These KPIs are informed by both Starbucks' historical performance and broader industry benchmarks.

The first KPI, a 15% increase in same-store sales, reflects a focus on improving performance at existing locations. Same-store sales (SSS) is a key indicator of organic growth, measuring how well a brand is performing independent of expansion. This KPI will be supported by AI-powered personalization tools, hybrid drive-thru integration, and targeted social advertising—all designed to lift order frequency and ticket size. These strategies align with Starbucks' proven strengths in digital infrastructure and data-driven marketing. As same-store

sales growth is a critical benchmark across the quick service restaurant (QSR) industry, this metric offers a clear window into store-level performance improvements tied directly to campaign efforts.

The second KPI is a 15% increase in customer retention, which will be achieved through improved app-based loyalty features such as gamified offers and personalized push notifications. These tools are designed to increase engagement and visit frequency, particularly among younger consumers. Retention is one of the most profitable metrics to improve: according to a study by Bain & Company, increasing customer retention by just 5% can result in profit increases of 25% or more (Stillwagon, 2014). Starbucks' ability to leverage behavioral insights through its app and loyalty program makes it uniquely positioned to capitalize on this benchmark.

Achieving 125,000 new Rewards sign-ups in Q4 2025—is part of a broader membership goal to reach at least 39 million active members by January 2027. With 36.4 million active members in Q1 2025 (Starbucks Investor Relations, 2025), this projection is consistent with past momentum, such as the 1 million member increase Starbucks achieved in a single quarter following a program update in Q1 2019 (Williams, 2019). Targeted promotions, in-app incentives and digital campaigns will serve as key acquisition drivers.

The final KPI is increasing annual revenue per store by 50% by January 2027. Starbucks already leads the coffeehouse industry in the U.S. for average revenue per store, with dominant market share by far (Statista, 2023), generating approximately \$900,000 annually (Starbucks Corporation, 2024). This campaign sets a target to raise that figure to \$1.35 million per store by January 2027, representing a 15% increase. This target will be supported by AI-powered product personalization, hybrid drive-thru convenience and customer loyalty incentives designed to lift transaction frequency and average ticket size. As Starbucks continues to scale digital ordering

and reward integration, personalized offers and behavior-driven messaging will be critical to maximizing store-level performance.

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Each of the elements of the Starbucks “We Hear You” campaign are backed by data-driven insights and industry benchmarks. For example, to efficiently acquire new customers and drive conversions, digital paid media will be continuously optimized based on industry benchmarks for cost-per-click (CPC). In the food and beverage sector, Facebook’s average CPC is \$0.42 (WordStream, 2023). This campaign will use that figure as a benchmark for cost-efficiency across platforms, applying real-time data monitoring to reduce acquisition costs while maximizing reach. Campaign success will be measured not just by impressions, but by how effectively each dollar spent on media translates into new app users, redemptions and revenue.

Campaign Budget

The estimated total budget for this integrated campaign is \$57.2 million, strategically allocated to maximize return on investment (ROI) and align with Starbucks' corporate objectives and revenue expectations. The ROI breakdown for all campaign tactics and expected revenue generation from each is listed below.

Line Item	Budgeted Cost (USD)	Expected Revenue (USD)	Expected ROI (%)
AI-driven personalization tools	\$12,000,000	\$300,000,000	2,400%

Loyalty program upgrades (tech + offers)	\$10,000,000	\$200,000,000	1,900%
Targeted social media ads (FB/IG/TikTok)	\$8,000,000	\$150,000,000	1,875%
Influencer campaigns (Gen Z engagement)	\$5,000,000	\$130,000,000	2,500%+
National PR rollout + email campaigns	\$4,200,000	\$100,000,000	2,280%
Drive-thru model expansion (pilot rollout)	\$18,000,000	\$470,000,000	2,511%
Total	\$57,200,000	\$1.35 billion	~2,360%

Timeline

The “We Hear You” campaign will be implemented across four strategic phases, beginning in Q2 2025 and concluding in January 2027. The timeline ensures adequate time for research, execution, optimization and evaluation. All KPIs—such as average revenue per store (ARPS), Starbucks Rewards sign-ups and customer retention—will be assessed using Q1 2027 benchmarks. Tasks are aligned with media strategies, performance goals and budgeted ROI targets.

Phase 1: Planning & Pre-Launch (Q2–Q3 2025)

- Finalize audience segmentation and predictive analytics models using Salesforce and Google Analytics
- Customize AI-powered personalization tools for loyalty users (offers, email content, app interface)
- Build out creative campaign assets for TikTok, Instagram and influencer collaborations
- Recruit Gen Z-aligned influencers and content creators across U.S. regional markets
- Develop employee communication strategy and in-store materials for hybrid drive-thru awareness
- Pilot hybrid drive-thru at 3–5 urban locations and begin performance tracking
- **KPI Foundation:** Establish pre-campaign baselines for ARPS, app engagement and loyalty tiers

Phase 2: National Launch & PESO Activation (Q4 2025 – Q2 2026)

- Full-scale launch of paid, earned, shared and owned (PESO) media content
- Rollout of updated Starbucks Rewards platform with refreshed tiers and gamified incentives
- TikTok and Instagram influencer campaigns go live across all major markets
- Deploy ads, email blasts and AI-curated product offers in to targeted segments
- Expand hybrid drive-thru model to 25 additional U.S. stores based on pilot insights
- **Metrics:** +30% same-store sales, +5% customer retention, +130K new Starbucks Rewards sign-ups

Phase 3: Optimization & Engagement Expansion (Q3–Q4 2026)

- Refine messaging and offers through A/B testing across platforms and loyalty segments
- Optimize influencer content through mid-campaign performance reviews
- Reallocate budget based on ROI from TikTok, Instagram and email campaigns
- Adjust personalization offers using seasonal purchase behavior data
- Begin Year-End Holiday push with refreshed creative and new reward bundles

Phase 4: Year-End Review & Future Strategy (January 2027)

- Launch “We Hear You: Year in Review” campaign summarizing customer feedback and campaign results
- Deliver final executive KPI report with Tableau visualizations and ROI breakdown
- Prepare strategic roadmap for 2027–2028 loyalty evolution and AI integration 2.0
- Host internal debrief with C-suite and cross-functional teams to review wins and opportunities

Measurement Tools and Evaluation Process

As Starbucks seeks to recover from the brand turbulence of late 2024—marked by a 7% global sales decline, corporate restructuring and leadership transitions—the “We Hear You” campaign will play a pivotal role in restoring performance and customer commitment. To ensure impact and accountability, its success will be evaluated through a data-driven framework integrating both quantitative and qualitative metrics aligned with Starbucks’ digital, retail and

loyalty operations. Each KPI will be tracked quarterly using internal dashboards, CRM systems and industry benchmarking.

Quantitative metrics—statistical, numerical and objective—are central to tracking campaign outcomes (Michaelson & Stacks, 2017). These include digital metrics such as ad impressions, CTRs, website traffic, app sign-ups and average revenue per customer. For example, Starbucks Rewards membership sign-ups will be measured via referral links, social media click-throughs and CRM-driven analytics. Salesforce Marketing Cloud will track customer acquisition and segmentation, helping Starbucks assess Rewards growth and long-term retention by visualizing user behavior across channels. Same-store sales will be evaluated using quarterly earnings data and store segmentation, while revenue per store growth will track performance across upgraded drive-thru and AI-personalized locations. Google Analytics 4 will offer insight into website and app engagement, including traffic sources, conversion paths and user retention funnels, enabling optimization of digital touchpoints. Tableau will be used to consolidate campaign performance data across retail and digital platforms into live dashboards, helping visualize trends by location and audience segment (Dyl, 2024).

Qualitative metrics provide critical insight into customer sentiment and emotional brand connection (Michaelson & Stacks, 2017). These include survey feedback, online reviews and social media commentary, analyzed using platforms such as Sprinklr and Sprout Social. These tools support multi-platform monitoring across TikTok, Instagram, Facebook and X, enabling Starbucks to track reactions to influencer content, personalized offers and AI-enhanced drive-thru experiences in real time. Though qualitative insights are more interpretive, they help measure emotional resonance and message alignment with target audiences.

To contextualize success, performance will be benchmarked against industry standards. For instance, the campaign will evaluate CPC efficiency using the \$0.42 food/beverage average (WordStream, 2023) and track customer retention improvements alongside Bain & Company's finding that a 5% retention boost can yield a 25%+ increase in profits (Stillwagon, 2014). Additionally, Statista reports Starbucks currently generates the most revenue (~\$900,000) per U.S. store (Statista, 2023). This campaign targets \$1.35 million by January 2027, requiring segmentation by store format and digital enhancements. Tracking this revenue KPI separately from same-store sales will isolate the impact of new tactics like hybrid drive-thrus.

The evaluation process will leverage integrated analytics via Salesforce CRM, Google Analytics and Tableau. Dynamic dashboards, predictive insights and automated alerts will enable Starbucks to make real-time adjustments to campaign content, targeting or media frequency, maximizing ROI and long-term customer loyalty (Dyl, 2024).

Conclusion (picture somewhere here)

The Starbucks "We Hear You" integrated public relations and marketing campaign is not only a strategic growth initiative for Starbucks—it is a critical step toward rebuilding customer commitment and brand equity following a challenging fiscal period. After experiencing a 7% decline in global comparable sales in Q4 2024, compounded by shifts in leadership, a restructuring of company priorities and the reversal of the "open door" policy that once symbolized Starbucks' commitment to inclusive communication, the brand has faced mounting pressure to re-establish trust, consistency and customer loyalty. Despite these setbacks, Q1 FY2025 showed early signs of recovery, with 1 million new rewards signups amounting to 34.6 million active Starbucks Rewards members and growing digital engagement, signaling that with

the right campaign, Starbucks can regain momentum and surpass previous performance benchmarks.

This \$57.2 million campaign is designed to do just that. It is grounded in Starbucks' core strengths—its dominant market share in the U.S. coffeehouse industry, unmatched brand awareness, and world-class loyalty program—and it strategically connects each element of the campaign to clear, measurable goals. Central to the campaign are four primary KPIs, each of which will be evaluated by January 2027: (1) a 15% increase in same-store sales, (2) a 15% increase in customer retention, (3) growth in Starbucks Rewards membership by over 2.6 million users—including a Q4 2025 benchmark of 125,000 new sign-ups—and (4) an increase in average per-store revenue from \$900,000 to \$1.35 million, a 50% increase.

These goals are informed by industry benchmarks and Starbucks' own historical data. For instance, the company saw a 14% spike in Rewards enrollment during Q1 2019 following loyalty program updates (Williams, 2019). Similarly, Bain & Company reports that a 5% increase in customer retention can result in over 25% greater profit, demonstrating why deeper investment in loyalty is both financially prudent and sustainable. Moreover, with average CPC in the food and beverage industry at \$0.42 (WordStream, 2023), the campaign's paid media strategy is both cost-efficient and scalable, enabling a high ROI through personalized ads, influencer collaborations and mobile engagement.

The campaign is structured across multiple phases, beginning with research and development, followed by creative content deployment, influencer onboarding and a broad national PR rollout. The integrated PESO model ensures Starbucks connects with audiences through paid ads on platforms like Facebook, TikTok, and Instagram; owned assets like the Starbucks app and blog; shared social media engagement; and earned media through traditional

press and influencer coverage. A major focus is placed on personalization and gamification within the Starbucks Rewards app to drive repeat visits and strengthen emotional ties between customers and the brand. Measurement and evaluation will rely on a balance of quantitative and qualitative data, using dashboards, CRM reports, sentiment analysis and real-time sales tracking.

Ultimately, this campaign is about restoring and future-proofing Starbucks' value proposition in an increasingly competitive and digital-first market. With a total projected ROI of \$1.35 billion, this proposal builds on Starbucks' Q1 2025 turnaround and sets the foundation for sustained growth through January 2027 and beyond. Through strategically connecting Starbucks' brand legacy to forward-thinking customer engagement and real-time analytics, this campaign positions the company not just to simply recover... but to lead.

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